

Mortgage Games

Thirty-year mortgages dominate the home loan industry. And I mean *dominate*. Why is this? Well, it's pretty simple. The thirty-year mortgage is what makes banks and mortgage companies the most money! So, of course, that's the term of mortgage they are going to promote, market, and offer to consumers. Freddie Mac reports that 90% of all homebuyers choose a thirty-year mortgage when buying a house.²⁶ Only 6% of buyers select a fifteen-year loan.²⁷ This absolutely blows my mind. If you want to know why most people don't become millionaires, look no further than the thirty-year mortgage. People throw away tens—even hundreds—of thousands of dollars on these loans without ever stopping to do the math. If you've never faced the numbers, buckle up. It's time for me to make you hate your mortgage.

Let's look at a \$225,000 mortgage at 4% interest, for example. If you, like nine out of ten buyers, went with the thirty-year mortgage, your payment (principal and interest) would be \$1,074. If you went with a fifteen-year mortgage, your payment would be \$1,664—\$590 more per month. Look, I get it. Saving \$590 every month sounds great, but that's a short-term view. We're looking out in the distance and setting long-term goals now, remember? So, let's see what that \$590 a month savings actually *costs* you. After ten years, the balance on the thirty-year loan would be \$177,264. You would have paid a total of \$128,880 on the thirty-year mortgage, but you only would have knocked \$47,736 off the principal balance. That means you would have thrown away more than \$81,000 in interest payments just in the first ten years—and you'd still have twenty years to go!

Compare that to the fifteen-year loan at the ten-year mark. Your balance would be \$90,369, and you would have paid \$65,049 in interest. Sure, that's still a lot of interest, but don't miss a few things: